

structure improvements or act as security experts in order to benefit from enterprise-class WLAN security.

WLAN Market Environment

Market Predictions

Despite the slow economy and weak spending on IT equipment, WLAN technology continues to gain a sure foothold and prove an unqualified success in the networking market. Worldwide consumer spending on WLAN hardware is projected to grow nearly 40%, reaching \$3.2 billion in 2006. The market is naturally segmenting between home personal networking, small to medium-sized businesses (SMBs) and large enterprises. SMBs are expected to constitute more than one-third of the WLAN market value by 2006.

Market Drivers

Since their initial emergence on the market in 1990, WLANs have become significantly more affordable, faster and better in performance. Primary market drivers for the popularity of WLANs, and thereby the attraction for small businesses who seek to improve business efficiencies in a vast array of processes, include:

- o Lower costs
- o WLAN NICs and access points (APs) are available at \$49 - \$99
- o 802.11b prices are plummeting with the arrival of 802.11g
- o Embedded WLAN capabilities
- o WLAN-friendly capabilities in notebooks such as Intel's Centrino